

Dear Name,

This letter is to confirm our understanding of the terms of our engagement and the nature and limitations of the services that we will provide.

Purpose, Objective, Scope and Output of the Engagement

Purpose:

The purpose of this Engagement Letter is to set out and confirm the terms of engagement between our firm (Police Tax Pty Ltd) and you. The Engagement Letter has been aligned with the standards of APES 110 Code of Ethics and APES 305 Terms of Engagement as published by the Accounting Professional and Ethical Standards Board.

Objectives:

The objectives of the engagement are to perform the following services for you and will be limited to these services only:

- Lodging and attending to the preparation of individual taxation return.

Please be aware that we will not conduct an audit or review unless specified above as a service to be performed for you and accordingly, no assurance will be expressed.

Unless specified above as a service to be performed for you, this engagement cannot be relied upon to disclose irregularities including fraud, other illegal acts and errors that may occur, however we will inform you of such matters if they come to our attention.

The recent changes to Section 225 (and 360) of APES 110 on Responding to Non-Compliance with Laws and Regulations (NOCLAR) require us to report a non-compliance with laws and regulations or acts of omission or commission, intentional or unintentional by a client or by Those Charged with Governance, by management or by other individuals working for or under the direction of a client which are contrary to the prevailing laws or regulations. If we decide that disclosure of NOCLAR to the appropriate authority is the correct course of action, then such a disclosure will not be considered a breach of confidentiality under our code of ethics.

Scope:

The engagement period commences on 01/07/2019 and will be effective for future years unless we issue an amended one to you.

Output:

We anticipate it will take approximately 3 business days (depending upon the complexity) to complete our work for the services specified above.

Any reports including Financial Statements, Income Tax Returns and so on, will be prepared for distribution to the specific organisation, client or entity for the purpose specified in the report. There is no assumption of responsibility for any reliance on our report by any person or entity other than you and those parties indicated in the report. The report shall not be inferred or used for any purpose other than for which it was specifically prepared. Accordingly, our report may include a disclaimer to this effect.

Responsibilities

In conducting this engagement, information acquired by us in the course of the engagement, including any information relating to your affairs whether it belongs to you or not or is provided by you or not, is subject to strict confidentiality requirements. That information will not be disclosed by us to other parties except as required or allowed for by law, or with your express consent.

We wish to draw your attention to our firm's system of quality control which has been established and maintained in accordance with the relevant APESB standard.

We may collect Personal Information about you, your representatives, your clients and others when we provide services to you. If we do, you agree to work with us to ensure that we both meet the obligations that we each may have under the *Privacy Act 1988* (Cth) (as amended) (**Privacy Act**). The obligations may include notifying the relevant person to whom the personal information relates who we are and how we propose to use their personal information. Where you have collected personal information, you confirm that you have collected the personal information in accordance with the Privacy Act, that you are entitled to provide this personal information to us and that we may use and disclose the personal information for the purpose/s we provide our services to you. We will handle personal information in accordance with the Privacy Act.

You are responsible for the reliability, accuracy and completeness of the accounting records, particulars and information provided and disclosure of all material and relevant information. You are required to arrange for reasonable access by us to relevant individuals and documents, and shall be responsible for both the completeness and accuracy of the information supplied to us. Any advice given to you is only an opinion based on our knowledge of your particular circumstances. You or your staff are responsible for maintaining and regularly balancing all books of accounts, and the maintenance of an adequate accounting and internal control system. You have obligations under self-assessment to keep full and proper records in order to facilitate the preparation of accurate returns. It is your responsibility to keep those records for five (5) years.

Involvement of Others

Where, as part of our engagement, the services of an external consultant or expert are required, an estimated cost and timeframe and involvement will be provided to you for your approval.

Storage of Personal Information

By signing this letter and accepting these services you acknowledge and agree that your personal information may be stored.

Fees-The fee arrangement is based on the information provided in our website www.policetax.com.au

Limitation of Liability

Our liability is limited by a scheme approved under Professional Standards Legislation. Further information on the scheme is available from the Professional Standards Councils' website: psc.gov.au.

Ownership of Documents

All original documents obtained from you arising from the engagement shall remain your property. However, we reserve the right to make a reasonable number of copies of the original documents for our

records. Ownership of these documents will vest in you. All other documents produced by us in respect of this engagement will remain the property of the firm, subject to any statutory obligations.

The firm has a policy of exploring a legal right of lien over any client documents in our possession in the event of a dispute. The firm has also established dispute resolution processes.

Client Substantiation Declaration

I confirm that I must demonstrate that I have incurred certain expenses in the course of deriving salary and wages income, and that you have advised me that I must satisfy the substantiation requirements in the Income Tax Assessment Act 1997 in relation to claims for work, car and business travel expenses.

In particular, you have been informed of the need to obtain original receipts for deductions claimed for such expenses and keep them for a minimum of five years from the date my return is lodged.

The receipts must contain name of the supplier, amount of expense, nature of goods and services, date of expense or document.

I will have:

- Evidence to verify any income/ expense item in my return in the event of an ATO review and/or audit.
- Documents to substantiate all work, car and travel expense claims under self-assessment
- Read and confirm by signing the return prepared for me.
- Disclosed and you have returned all income from all sources, for the 2019-20 income year.
- All receipts/ documentation to substantiate all my claims to make available if required by the ATO

Confirmation of Terms

Please sign and return the attached copy of this letter to indicate that it is in accordance with your understanding of the arrangements. This letter will be effective for future years unless we advise you of any change.

Yours sincerely,

Signature of Member	
Mr. Garry J Angus (Director) Accountants Plus Pty Ltd Tax agent 5596 1005	Date:

Acknowledged on behalf of <insert client's name> by:

Signature of client	
Client Name:	Date: